

Recommendations Memo

Sales Forecasting & Revenue Trend Analysis

TO: Chief Financial Officer

FROM: [Elavarasan R], Business Analyst

RE: Sales Forecasting & Revenue Trend Analysis — Recommendations

Findings in Brief

Revenue beat the company forecast in 23 of 24 months, driven mainly by an under-forecast festive season and a fast-growing Southeast Asia. The one region under-performing its forecast is Middle East, growing at less than a third the rate of the other two regions. A statistical forecasting model was tested and does not yet outperform the current judgment-based process, largely because only two years of data exist.

Recommendation 1 — Add a monthly forecast accuracy and bias tracker

Action: Track Forecast Accuracy % and Bias % every month, by region and product category, starting immediately.

Expected impact: Surfaces the festive under-forecasting pattern and the Middle East over-forecasting pattern in real time instead of after the fact.

Effort: Low | Risk: Low | Priority: 1

Recommendation 2 — Apply region- and season-specific adjustment factors

Action: Increase the festive-season (Oct–Dec) forecast uplift to reflect the observed 1.44–1.49x seasonal index, and reduce Middle East's assumed growth rate to align with its actual 11.2% YoY trend.

Expected impact: Should reduce average absolute forecast error meaningfully in the regions and months where the current gap is largest.

Effort: Low | Risk: Low | Priority: 1

Recommendation 3 — Investigate Middle East growth directly

Action: Commission a short market review (distribution reach, competitor activity, category saturation) for UAE and Saudi Arabia, since this dataset shows the pattern but can't explain it.

Expected impact: Determines whether Middle East needs a lower target (accept slower growth) or a different go-to-market approach (close the gap).

Effort: Medium | Risk: Low | Priority: 2

Recommendation 4 — Hold off on replacing the forecast with a pure statistical model

Action: Continue using judgment-based forecasting, improved by Recommendations 1 and 2, while accumulating more historical data.

Expected impact: Avoids replacing a 94.8%-accurate process with a 78.6%-accurate one. Revisit once 3+ years of monthly data exist.

Effort: Low | Risk: Low | Priority: 2

Recommendation 5 — Reallocate a portion of Middle East marketing spend toward Southeast Asia

Action: Southeast Asia grew 43.6% YoY with a comparable profit margin (32.8%) to Middle East (32.0%); test shifting 10–15% of Middle East's marketing budget into Southeast Asia for one quarter and measure the revenue response.

Expected impact: Directs spend toward the region showing the strongest demand signal.

Effort: Medium | Risk: Medium (monitor that Middle East doesn't decline further) | Priority: 3

Executive Summary

The current forecasting process is more accurate (94.8%) than a data-driven model built from just two years of history (78.6%), so the priority isn't replacing it, it's correcting its two known blind spots: an under-forecast festive season and an over-optimistic Middle East growth assumption. Both are fixable with adjustment factors, not a new system. Southeast Asia is the standout growth region at 43.6% YoY and deserves more investment. Middle East's slower growth (11.2% YoY) needs a market-level explanation before its targets are reset. Tracking forecast accuracy monthly, starting now, is the single highest-leverage, lowest-effort change available.